

How much does it cost to run a small scholarly publisher?

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I run a small academic publisher, the [Open Library of Humanities](#). Well, I say small but, at 18 journals, we are bigger than quite a few small university presses. But, by most accounts, we are small.

I want to write here about how much this costs, so that those starting new presses can think about it. The figures here are ballpark, not precise.

Let us make some assumptions:

- Running/coordinating/funding 18 journals requires work. That work is technical (platform) and social (editorial and business). In fact, it requires some full-time staff, I promise.
- Let us assume that these staff should be paid. This is not unreasonable.
- Let us assume that one member of staff is required to oversee editorial; an editorial manager. The role here is liaise with production teams, answer queries from editors, assign articles to editors, copyedit/proof on any central journals (OLHJ in our case), ensure that COPE procedures are followed. How many articles do you think someone in this role can handle, given that articles loop back at various points in the workflow?

- Let us assume that one member of staff is required to oversee the business side; a business manager. The role here is to market the platform to ensure revenue, to ensure compliance with charity laws, to invoice institutions, to manage renewals, to write grant bids when possible, to give outreach talks. This role is how the platform can generate money so it can pay staff, regardless of the business model.
- Let us assume that one member of staff is a technical manager, responsible for maintaining a technological platform. This includes implementing journal-specific fixes, general system administration, and much more.
- Let us assume, for the sake of simplicity, a flat salary of £50,000 for each of the above roles, including on-costs. For the sake of simplicity.

In actuality, we outsource our technical management (and an additional editorial manager) to Ubiquity Press at a decent rate paid for in per-article costs. For the sake of this post, I'm going to pretend we don't, so I can show what the costs look like.

Edit: a friend pointed out to me another unspoken assumption here: estates. In this model, I have assumed that you don't have to pay for offices, internet connections, telephones etc. The reason for this is that the prime demographic for this post – new university presses – are often provided with these in-kind by universities. If you *do* have to rent offices, then adding an extra £15,000 to £20,000 per year to the fixed costs below would be sensible. I also don't know how much health insurance costs employers in the States; I've here added on UK National Insurance.

Edit 2: we also have travel costs for marketing. At the moment, we spend about £10,000 per year on this.

So, our fixed salary costs, combined with membership costs of various organisations from whom we require services (Crossref, CLOCKSS, iThenticate (through Crossref), COPE, COUNTER, some kind of server hardware) and a 20% surplus for safety/sustainability (you need a backup plan to account for fluctuations in renewals/income) look like this:

Item	Cost (£)
Editorial Manager	50,000
Business Manager	50,000
Technical Manager	50,000
Crossref Membership	200
iThenticate Membership	45
CLOCKSS Membership	200
COPE Membership	525
COUNTER Membership	403
Hosting	360
Surplus (20%)	30,346.60
Total Fixed Costs per year	182,079.60

We then have some costs per article, but these are not substantial:

Item	Cost (£)
DOI	1
Plagiarism Check	0.50
Production (XML + PDF)	100
Cost per article	101.50

So, for a set of article volumes, this yields us the following:

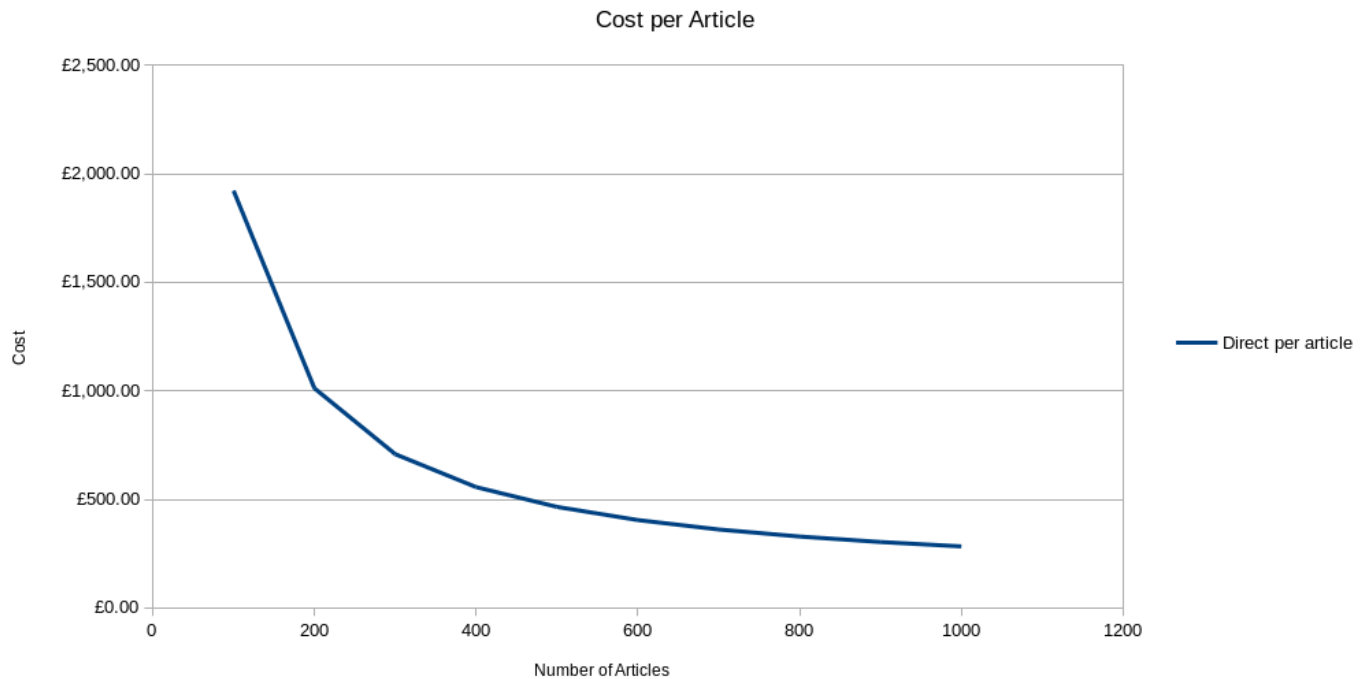
Number of Articles	100	200	300	400	500	600	700	800	900	1000
Total Operating Costs	£192,229	£202,379	£212,529	£222,679	£232,829	£242,979	£253,129	£263,279	£273,429	£283,579

The other question, on the above modeling assumptions, is how realistic it is to expect three people to carry out the work required on 1000 articles. There may, in fact, be an extra hire in there.

However, let us then break this down into per-article costs (or, in OLH's cases, this can also translate to per-institution cost for the number of institutions, although the challenge in a model like that of the OLH is that institutions and articles published do not scale together in a uniform or predictable fashion):

Number of Articles/Institutions	100	200	300	400	500	600	700	800	900	1000
Cost per Article/Price per Institution	£1,922	£1,011	£708	£556	£465	£404	£361	£329	£303	£283

While we have a linear scaling on the total operating cost, we have a non-linear scale for the cost per article, depending on the point at which one needs to hire an additional editor. (It is likely that it would be possible to employ additional editors for far less than the £50,000 price quoted above. Part time editors could also help here. But it does not seem likely that 3 people could handle 1000 front-list articles per year.)



I suspect that I have missed a number of items that we pay for, as I'm writing this quite late on a Monday evening (just because I was interested), and the most obvious ones that spring to mind are additional business costs (accountancy fees, around £1500 per year; and legal fees: variable but relatively expensive) but the key points to emphasize here are that:

1. There are costs. The main costs are not actually divided into “costs per article”, as the APC model assumes, but fixed salary costs. This is why the cost per article exhibits a non-linear scaling.
2. Even though we use Ubiquity Press to reduce some of those fixed overheads and to instead convert these into unit costs (while they bear the risk/fixed costs, hoping to recuperate these through volume of unit sales), we still have fixed costs that we need to cover. This is probably worth considering when planning your costings. Ubiquity Press is a great way for new startups to get their fixed costs down. But, at a certain point, their unit costs will exceed the additional staff costs in house, and new startups may wish to consider this, since fixed costs also scale, even when using Ubiquity or another similar provider.
3. An APC model requires a certain volume of publication to cover fixed costs and entails *risk* for a publisher. The OLH consortial model entails similar risks if we cannot control publication volume, which is why we cap our journals to X number of articles per year. Below a certain

article volume, though, the APC costs become less competitive than the larger publishers. That said, bear in mind that the above costs also include a 20% surplus for not-for-profits.